BUSINESS FINANCE

Introduction to Business Finance and Finance Function

Introduction to Business Finance

Business finance refers to the activity of acquiring and utilising funds for carrying on business operations. Every business, irrespective of its size or nature, requires funds to acquire assets, pay expenses, and carry on day-to-day operations, as well as to fund expansion and growth.

In simple terms, business finance deals with three broad questions: how much money is needed, from where it should be raised, and how it should be used most effectively.

Meaning and Scope

- Concerned with procurement of funds from various sources (owners' funds and borrowed funds)
- Concerned with effective utilisation of funds in the business
- Involves planning, organising, directing, and controlling of financial activities
- Aims at ensuring adequate, timely, and cost-effective availability of funds

Meaning of Finance Function

The finance function is that part of overall management function which is concerned with the procurement and effective utilisation of funds for the achievement of the firm's objectives. It is one of the most important functional areas of management, since every business decision has financial implications.

The finance function is broadly divided into four key types of decisions, often referred to together as the framework of financial management:

Types of Finance Function

Type of Decision	Meaning	Example
Investment Decision	Decision relating to how much and where the firm's funds should be invested, in both long-term (capital budgeting) and short-term (working capital) assets	Purchase of new plant & machinery; deciding the level of inventory and cash to be maintained
Financing Decision	Decision relating to how much finance is to be raised and from which sources - equity, debt, or a mix of both	Deciding the debt-equity ratio; issuing shares vs raising a term loan from a bank
Dividend Decision	Decision relating to what proportion of profit is to be distributed to shareholders as dividend and what proportion is to be retained in the business	Declaring a 20% dividend and retaining the rest as reserves for expansion
Liquidity Decision (Working Capital Decision)	Decision relating to management of current assets to ensure the firm neither suffers from a shortage nor holds excess idle funds	Maintaining sufficient cash balance to pay suppliers and meet day-to-day expenses

Objectives of Financial Management

Financial management revolves around two broad objectives:

1. Profit Maximisation

The traditional approach to financial management. The goal is to earn maximum profit from business operations, given the resources employed. It focuses on efficiency in the use of funds and treats profit as the true measure of a firm's performance.

2. Wealth Maximisation

The modern and widely accepted approach to financial management. The goal is to maximise the market value of the firm's equity shares, i.e., shareholders' wealth. It considers not just the amount of earnings, but also the timing and risk associated with those earnings.

Other Supporting Objectives

- Ensuring optimum utilisation of funds
- Ensuring adequate and regular supply of funds
- Ensuring safety of funds through sound investment
- Planning a sound capital structure (balance of debt and equity)
- Ensuring survival and growth of the firm

Profit Maximisation vs Wealth Maximisation

Basis of Difference	Profit Maximisation	Wealth Maximisation
Meaning	Earning the maximum possible profit for the firm	Maximising the market value of equity shares / shareholders' wealth
Focus	Short-term earnings	Long-term value creation
Time Value of Money	Ignored - treats money received today and in future as equal	Considered - future cash flows are discounted to present value
Risk Factor	Ignores risk and uncertainty involved in earning profits	Explicitly considers risk associated with the cash flow stream
Approach	Traditional approach to financial management	Modern approach to financial management
Quality of Benefits	Does not distinguish between quality of returns	Considers quality (certainty) of expected benefits
Measurement	Measured in absolute terms (total profit or EPS)	Measured through market price of share
Decision Making Basis	Decisions based on profit figures alone	Decisions based on Net Present Value (NPV) of cash flows
Ambiguity	Term 'profit' is vague - profit before/after tax, EPS, etc.	Clear and precise objective - increase in shareholder wealth
Suitability	Suitable for short-run planning	Suitable as the primary goal of financial management today

Owners' Funds vs Borrowed Funds

Owners' Funds

Owners' funds refer to the capital contributed by the owners of the business - proprietors, partners, or shareholders - along with profits retained in the business (reserves and surplus). These funds belong to the owners and represent their stake in the business.

- Raised through equity shares, preference shares, and retained earnings
- Owners bear the residual risk of the business
- No fixed obligation to pay dividend or repay capital

Borrowed Funds

Borrowed funds refer to the capital raised from outside parties such as banks, financial institutions, or the public, which the business is obligated to repay along with interest, within a stipulated period. These funds create a liability for the business.

- Raised through debentures, bonds, term loans, and public deposits
- Carries a fixed rate of interest, payable irrespective of profit
- Must be repaid within a fixed period, often against security

Difference between Owners' Funds and Borrowed Funds

Basis of Difference	Owners' Funds	Borrowed Funds
Meaning	Funds provided by the owners of the business, i.e., shareholders/proprietors, out of their own resources	Funds arranged from outside parties such as banks, financial institutions, or debenture holders
Sources	Equity shares, preference shares, retained earnings/reserves & surplus	Debentures, bonds, term loans, public deposits, trade credit
Ownership	Provider becomes a part-owner of the business	Provider remains a creditor/lender, not an owner
Control	Owners generally have voting rights and control over management decisions	Lenders have no voting rights or control over management, except in case of default
Return	Return is in the form of dividend, payable only out of profits, and not guaranteed	Return is in the form of interest, payable at a fixed rate irrespective of profit or loss
Repayment	Not repayable during the lifetime of the business (except on winding up)	Repayable after a fixed period as per the terms of borrowing
Security	No security or charge on assets is required	Usually requires security or a charge on the assets of the business
Risk	Bears higher risk since return and capital are not assured	Bears lower risk since interest and repayment are contractually fixed
Cost to the Firm	Relatively costlier in the long run, as dividends are paid out of post-tax profits	Relatively cheaper, since interest is a tax-deductible expense
Effect on Capital Structure	Increases owners' equity and strengthens the financial base	Increases the firm's liabilities and financial leverage/gearing

Time Value of Money

Concept of Time Value of Money

Time Value of Money (TVM) is the principle that a given sum of money is worth more today than the same sum in the future, because of its earning capacity. Money received today can be invested to earn interest/return, so it grows over time.

- Money has an opportunity cost - it can be invested to earn a return
- Inflation reduces the purchasing power of money over time
- There is uncertainty and risk attached to future receipts

Because of these reasons, cash flows occurring at different points of time cannot be compared directly - they must first be adjusted to a common point in time, either by compounding (moving forward) or discounting (bringing back to the present).

Compound Interest and Terminal (Future) Value

Compounding is the process of finding the future value of a present sum, using compound interest - i.e., interest earned not just on the principal, but also on interest already accumulated. The future value obtained is also called the Terminal Value.

$$FV = PV \times (1 + r)^n$$

Where:

- FV = Future value / Terminal value
- PV = Present value (initial sum invested)
- r = Rate of interest per period
- n = Number of periods

Example: Rs. 10,000 invested today at 10% p.a. for 3 years grows to FV = 10,000 × (1.10) ^3 = Rs. 13,310.

Present Value

Present Value (PV) is the reverse of compounding - it is the current worth of a future sum of money, discounted at a specific rate of return. This process is called discounting.

$$PV = FV / (1 + r)^n$$

The rate 'r' used here is called the discount rate, and the factor $1 / (1+r)^n$ is known as the Present Value Factor (PVF).

Example: The present value of Rs. 13,310 receivables after 3 years, discounted at 10%, is PV = 13,310 / (1.10) ^3 = Rs. 10,000.

Relationship between Present Value and Discount Rate

Present value and the discount rate share an inverse relationship - as the discount rate rises, the present value of a future sum falls, and vice versa. This is because a higher rate implies money grows faster, so less needs to be set aside today to reach the same future amount.

Change	Effect on Present Value
Discount rate increases	Present value decreases (inverse relationship)
Discount rate decreases	Present value increases

Discount rate = 0	Present value equals the future/nominal value itself
Longer time period (n)	Present value falls further for the same discount rate, since discounting compounds over more periods

Present Value and Future Value of an Annuity

An annuity is a series of equal cash flows occurring at regular intervals over a specified period (e.g., equal yearly instalments, EMIs, insurance premiums).

Future Value of an Annuity

The future value of an annuity is the sum of the compounded values of all instalments, calculated as at the end of the annuity period.

$$FVA = A \times [(1 + r)^n - 1] / r$$

Where A = amount of each instalment (annuity), r = rate of interest per period, n = number of periods.

Present Value of an Annuity

The present value of an annuity is the sum of the discounted values of all future instalments, calculated as at the beginning of the annuity period.

$$PVA = A \times [1 - (1 + r)^{-n}] / r$$

Example: An annuity of Rs. 1,000 per year for 3 years at 10% has PVA = 1,000 × [1 - (1.10)^-3] / 0.10 = Rs. 2,486.85 (approx.).

Amortizing a Loan

Amortization refers to the process of repaying a loan (principal + interest) through a series of equal periodic instalments, calculated using the present value of an annuity concept. Each instalment covers the interest due for the period and a portion of the principal, so the outstanding balance gradually reduces to zero by the end of the loan term.

Steps to compute the equal instalment (EMI/annual instalment):

- Determine the loan amount (this is the Present Value of the annuity)
- Use the PV of Annuity formula to solve for the instalment amount A = Loan Amount ÷ PVA factor
- Prepare an amortization schedule showing interest, principal repaid, and closing balance each period

Example: A loan of Rs. 1,00,000 at 10% p.a. repayable in 3 equal annual instalments requires an instalment of approximately Rs. 40,212 each year.

Year	Opening Balance (Rs.)	Instalment (Rs.)	Interest (Rs.)	Closing Balance (Rs.)
1	1,00,000	40,212	10,000	69,788
2	69,788	40,212	6,979	36,555
3	36,555	40,212	3,656	0 (approx.)